



Deutsche Bank
Research

Q2 Tech Performance Review: Memory Wins, Chips Dominate

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.



Apple increases MacBook and iPad prices by 20%

Micron Soars After AI-Fueled Forecast Shatters Estimates

Wall Street ends lower on semiconductor selloff as AI spending concerns mount

Alibaba sues Pentagon over inclusion on Chinese military blacklist

Chinese AI, chip firms are driving an onshore IPO rebound

Anthropic Halts Access to Top AI Models After U.S. Ban on Foreign Use

Apple seeks to buy memory chips from blacklisted Chinese company

SUMMARY: Memory wins, chips dominate

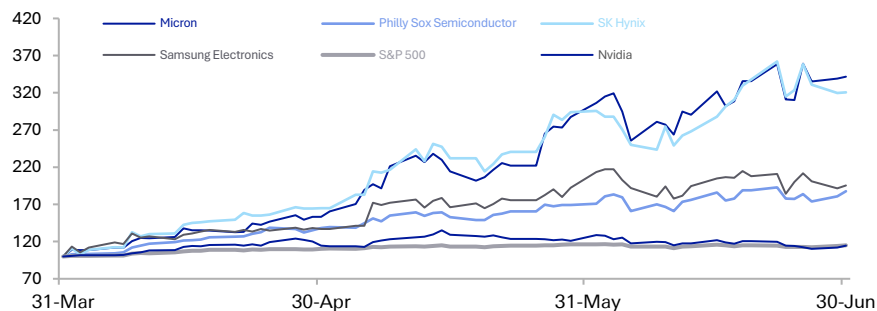


In Q2, equities ran largely uncorrelated from events in Iran, driven by a tech rally despite ongoing concerns over the war. Strong earnings growth fuelled the Mag 7's rise in April (+15%) and May (+7%). Then last month, risk assets sold off despite the June 15 US-Iran peace deal, as worries over rising Fed hawkishness, the memory shortage's inflationary impact, and doubts over AI demand sustainability triggered a sell-off in AI stocks. Still, despite the meltdown over the last few weeks, tech delivered a remarkable run this quarter, with AI excitement significantly outweighing macro and geopolitical concerns around the war. The Mag 7 ended up +12% on the quarter.

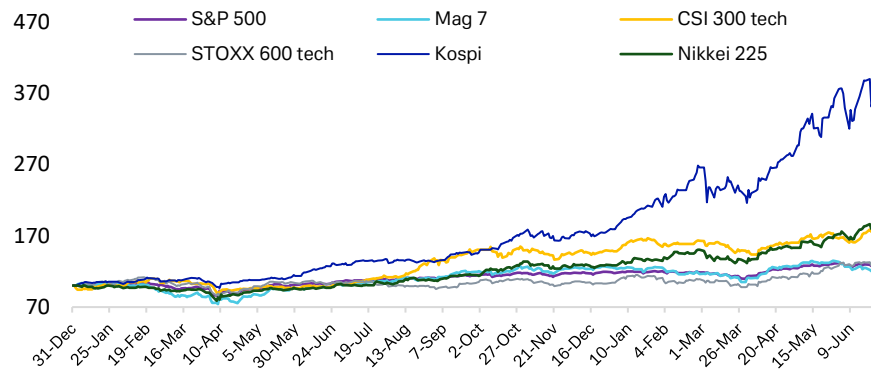
The spotlight has been on memory chipmakers in particular, which drove most of tech's outperformance – and its June selloff. The ongoing memory shortage has led to rising returns for Micron (+242% q/q), SK Hynix (+228% q/q) and Samsung Electronics (+100% q/q), all of which have now joined the \$trn dollar market-cap club. Asian equities followed, with the Nikkei 225 (+37% q/q) and Kospi (+67% q/q) outperforming their Western counterparts.

What will Q3 bring? Micron's results were probably enough to restore confidence in AI-driven demand, particularly in data-centre memory. But volatility under a more hawkish Fed will likely persist, and BIS has warned of AI exuberance risk ending in a lengthy investment bust. In crypto, payments and fintech, expect continued pressure as investors rotate into AI. Tech should remain the underlying volatility driver, with the US most exposed.

Memory chipmakers have had geometric rises...



... pushing up Asian equities in particular

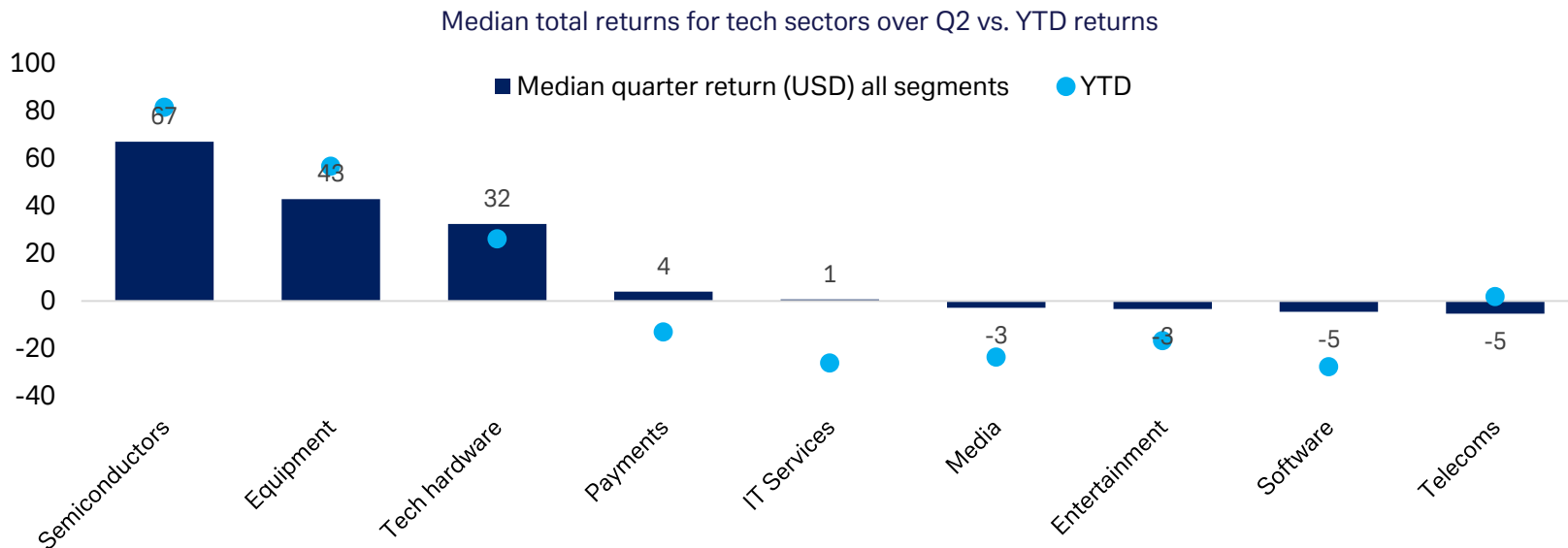


Sources: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026. Returns in local currency.

1. GLOBAL INDUSTRY BREAKDOWN



Semiconductors and chip-related stocks are tech's clear group-stage winners in Q2 and YTD, led by Chinese and other Asian companies like GigaDevices (+248% q/q) and ACM Research (+210% q/q). Outside of semis, equipment and tech hardware, the rest of the field struggled. Payments and IT services continue to underperform in both AI risk-on and risk-off environments, with this quarter also weighed down by Accenture's (-37% q/q) weak FQ326 earnings in June. Software remains the worst performer, as AI disruption continues to hit companies including Intuit (-39% q/q), Horizon Robotics (-38% q/q) and Sensetime (-27% q/q).

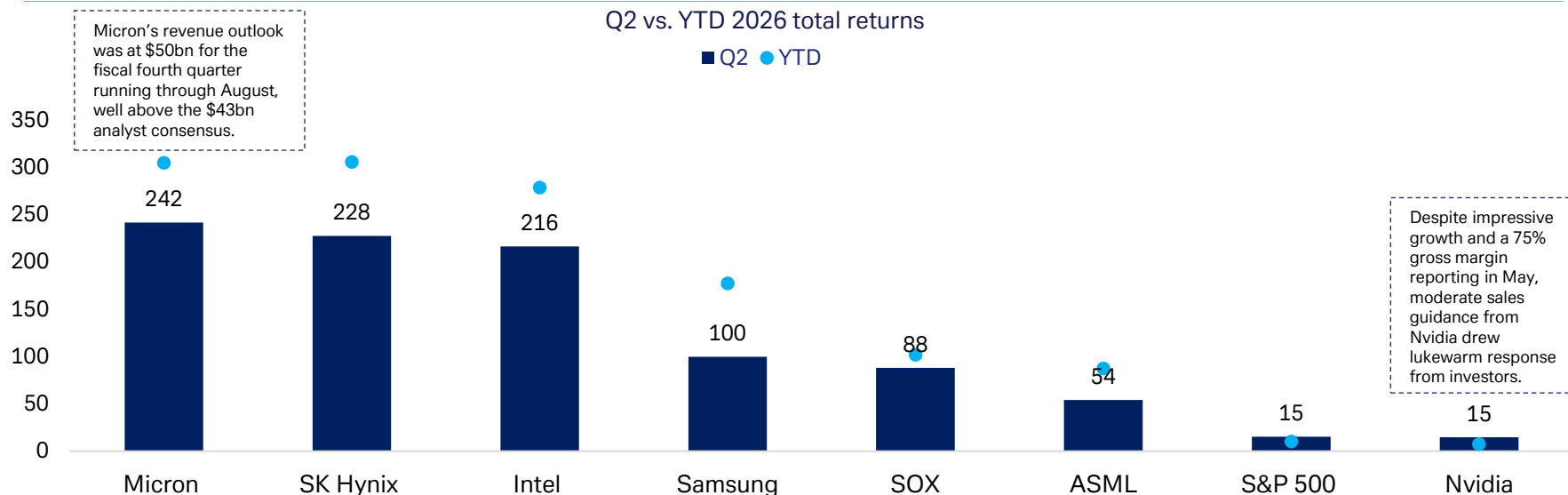


Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

2. SEMICONDUCTORS



Memory chipmakers will continue to benefit from persistent industry imbalances, with Micron and SK Hynix the standout performers. Micron's earnings beat ignited hopes about AI-fuelled growth and helped push back against bubble fears. SK Hynix has also confirmed it will [seek over \\$29bn](#) via the issue of ADRs on the Nasdaq. Intel (+216% q/q) surged on a strong earnings beat and accelerating foundry momentum, with reports that Apple is evaluating Intel's 18A process and Google has reportedly placed orders for more than 3mn TPUs for 2028. Elsewhere, the Philadelphia Semiconductor Index (+88% q/q) posted its best quarterly performance since the index began in the early 1990s.

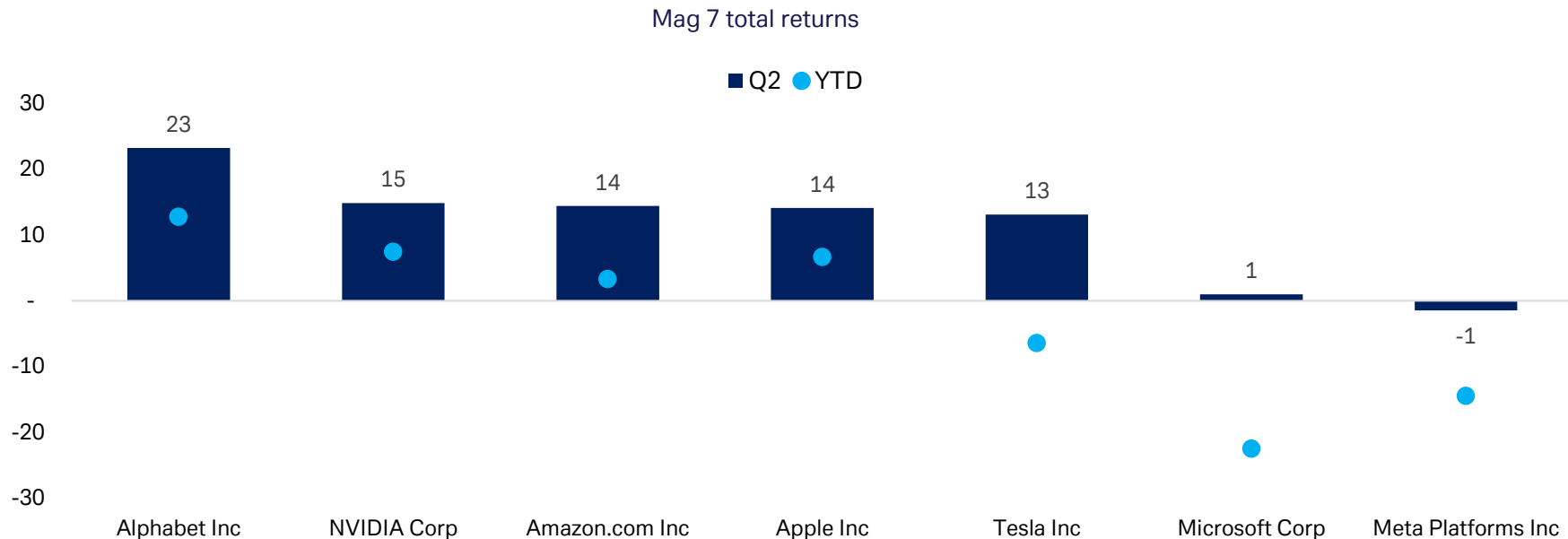


Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026. Returns in local currency.

3. MAGNIFICENT 7



The Mag 7 started Q2 on a high, driven by strong earnings growth against a backdrop of hyperscaler capex expected to exceed \$700bn this year. In June, elevated large-cap tech positioning combined with AI concerns temporarily dragged the index into correction territory, although the group recovered by quarter-end (+12% q/q). Microsoft (+1% q/q) continues to lag YTD, as dual concerns over its ability to compete on AI spending and AI disruption risk persist.



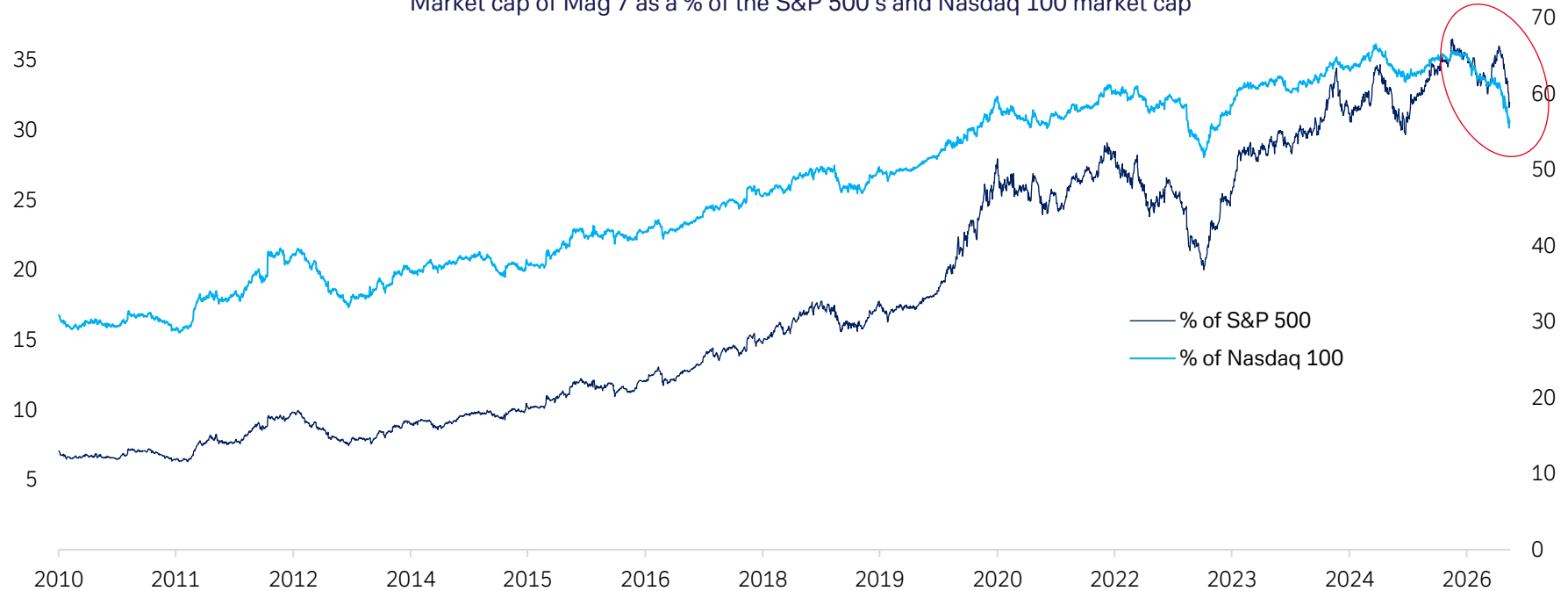
Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

3.1 MAGNIFICENT 7



Large-cap tech stocks are down significantly, dragging the S&P 500 down modestly, even as two-thirds of the overall stocks and industries are up, alongside small- and mid-caps. Still, [according to our strategists](#), there is an ongoing rotation away from large-cap tech and into other sectors and regions that have lagged.

Market cap of Mag 7 as a % of the S&P 500's and Nasdaq 100 market cap



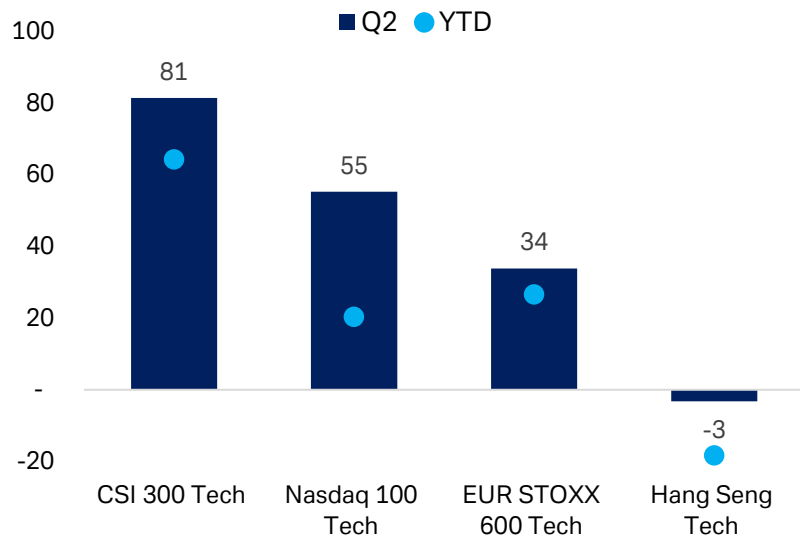
Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

4. REGIONAL BREAKDOWN



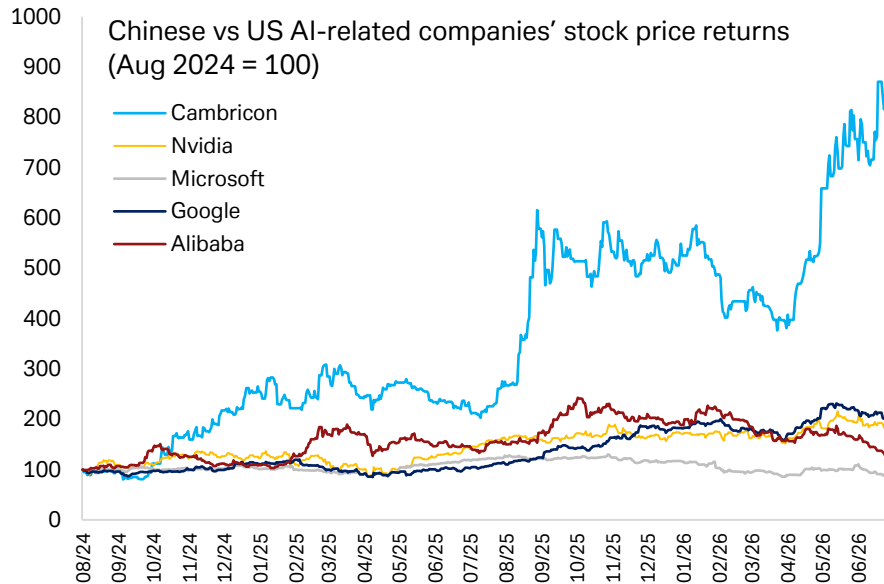
Chinese stocks are leading YTD and quarterly gains, buoyed by local memory chipmakers, while off-shore HK-listed tech continues to suffer from old-guard heavyweights like Xiaomi (-32% q/q), Alibaba (-21% q/q), and Tencent (-10% q/q). Elsewhere, European tech equities saw some growth but suffered substantial outflows during the war, with software companies particularly affected over the last six months.

Top global tech indices – Q2 vs. YTD total returns



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

Chinese vs US AI-related companies' stock price returns (Aug 2024 = 100)



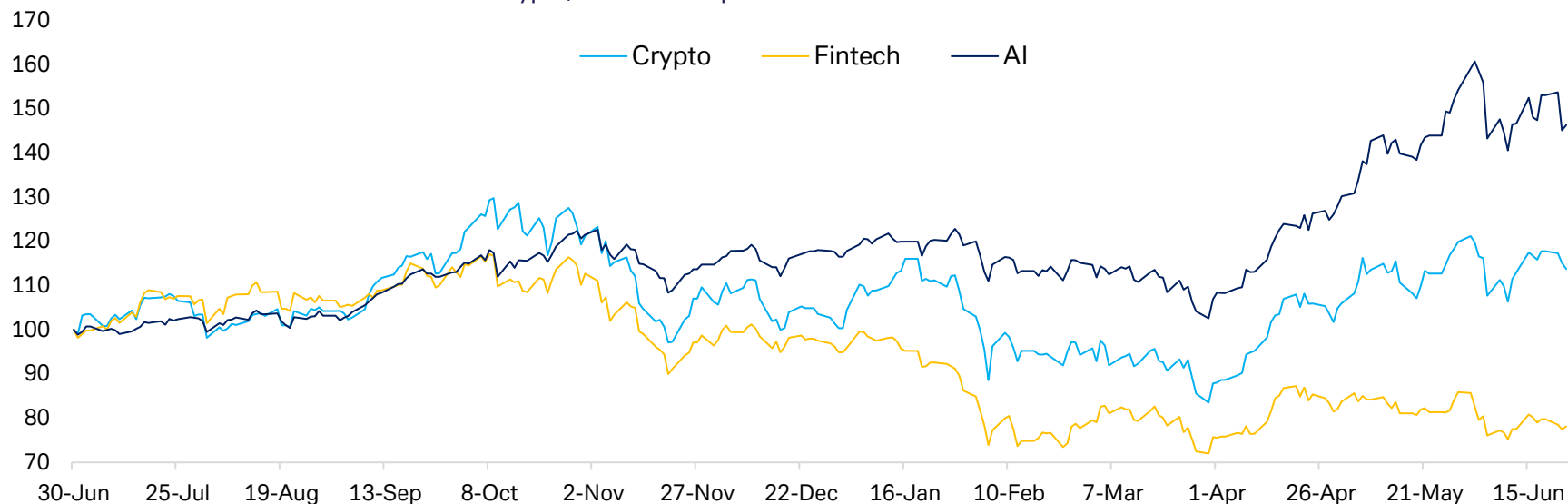
Source: Deutsche Bank Research, Bloomberg Finance LP. Indexed to 100. Updated June 30, 2026.

5. CRYPTO, AI & FINTECH



Crypto extended its struggles in Q2, falling below \$60k in June as a renewed sell-off was driven by a more hawkish Fed outlook, record institutional ETF outflows, uncertainty over the CLARITY ACT, and rotation of risk capital into AI (see [here](#)). Our Fintech and blockchain ETF remains the worst-performing segment YTD (-17%), weighed down by ongoing pain at companies like Canton Strategic Holdings (-14%) and Circle (-34%). Fintech sentiment remains weak more broadly, with the steady demand deterioration coupled with long-term fears around AI disintermediation.

Crypto, AI & Fintech performance rebased to June 2025

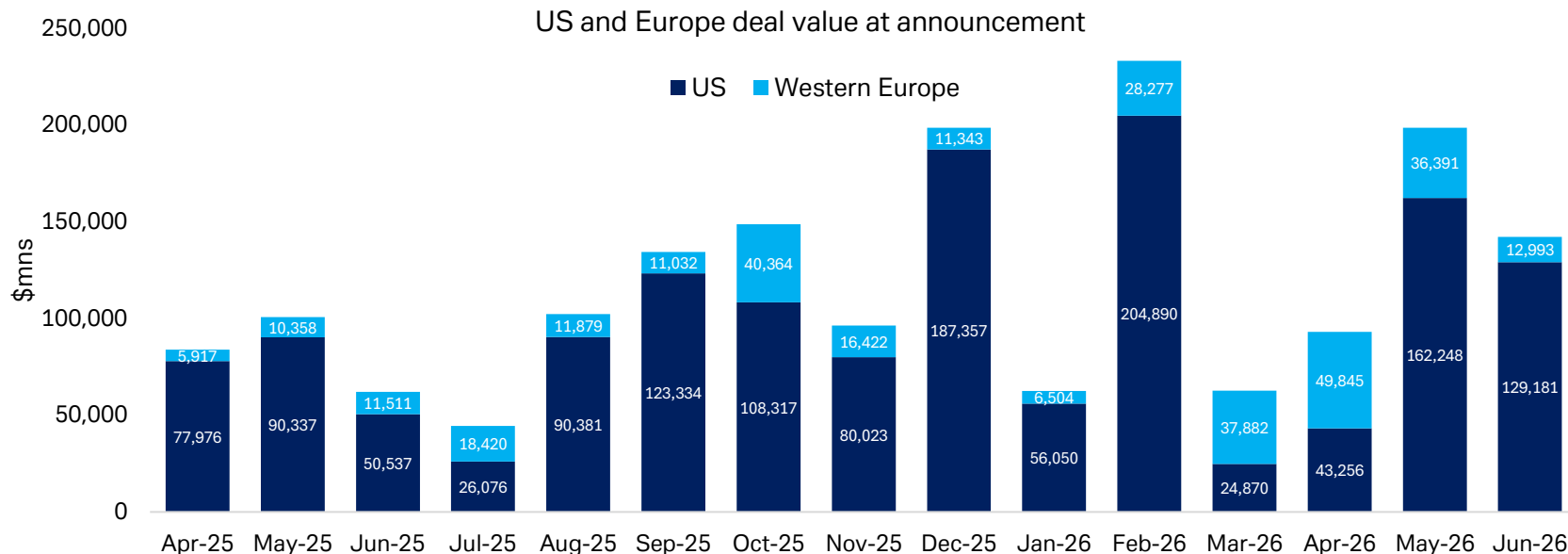


Source: Deutsche Bank Research, Bloomberg Finance LP. Data updated June 30. The following are based on AIQ ETF, BLOK US Equity ETF, and ARKF US Equity ETF.

6. M&A



After a halt in April, Q2 was a blockbuster quarter for mega-cap AI IPOs, with Anthropic (\$65bn) and OpenAI (\$852bn) filings. Beyond IPOs, semiconductors M&A led the way, including Analog Devices' proposal to acquire Empower Semiconductor for \$1.5bn in May and ON Semi's \$6.8bn acquisition of Synaptics Inc, announced on 25 June.



Source: Deutsche Bank Research, Dealogic. Values up to June 29.

DB select forecasts



	Company	Reporting Currency	Listing Currenc	Current Price	Target Price	Rec.	M. Cap	2026E	2027E	2026E	2027E
IDM	NXP	USD	USD	277.0	315.0	Buy	61.4	103x	15.0x	12.6x	10.0x
	Intel	USD	USD	128.3	100.0	Hold	565.9	111.7x	77.7x	34.5x	27.3x
	ST Microelectronics	USD	EUR	62.6	75.0	Buy	57.0	51.1x	24.1x	18.5x	11.8x
	Infineon	EUR	EUR	78.3	90.3	Buy	102.3	40.3x	30.9x	18.6x	14.8x
	Texas Instruments	USD	USD	285.4	240.0	Hold	227.9	35.7x	29.1x	22.2x	20.2x
	Renesas*	JPY	JPY	4,799.0	NA	NR	48.7	18.6x	17.5x	17.6x	15.0x
	Analog Devices	USD	USD	386.9	365.0	Hold	165.4	30.2x	26.5x	25.5x	22.1x
	onsemi	USD	USD	90.7	110.0	Buy	31.2	26.8x	16.8x	18.3x	12.4x
	Microchip Technology*	USD	USD	87.9	NA	NR	41.8	32.0x	23.2x	23.0x	17.1x
	ASML	EUR	EUR	1,578.2	1600.0	Buy	612.6	48.2x	32.6x	37.9x	25.9x
Semi Equip	Applied Materials	USD	USD	626.8	550.0	Buy	436.7	48.2x	35.3x	40.8x	30.1x
	KLA	USD	USD	248.6	1750.0	Hold	285.0	56.3x	46.3x	46.7x	38.6x
	Lam Research	USD	USD	379.1	325.0	Buy	416.0	55.5x	42.5x	45.8x	35.4x
	TEL*	JPY	JPY	74,000	NA	NR	187.7	49.9x	38.6x	36.0x	27.4x
	Screen*	JPY	JPY	16,665	NR	17.2	26.9x	23.2x	18.2x	14.9x	
	ASM Int'l	EUR	EUR	948	925.0	Buy	46.8	44.5x	36.7x	29.3x	24.0x
	VAT Group	CHF	CHF	669.8	550.0	Hold	21.8	64.8x	46.0x	46.1x	33.7x
	BE Semiconductor	EUR	EUR	282.7	275.0	Buy	22.9	66.4x	45.1x	55.1x	38.4x
	Technoprobe	EUR	EUR	33.9	42.0	Buy	21.6	74.0x	44.4x	45.4x	26.6x
	AMD	USD	USD	521.6	365.0	Hold	746.3	70.1x	43.5x	56.8x	34.9x
Fabless	MediaTek	TWD	TWD	3,910.0	2850.0	Buy	172.5	57.8x	34.7x	44.8x	26.8x
	Nvidia	USD	USD	192.5	255.0	Hold	4,088.5	21.3x	15.8x	17.8x	12.3x
	Marvell	USD	USD	266.8	240.0	Buy	204.8	67.5x	43.8x	50.6x	33.1x
	Broadcom	USD	USD	365.0	Target	Buy	1,523.9	27.9x	7.0x	27.9x	13.2x
	Qualcomm	USD	USD	189.4	160.0	Hold	175.2	18.0x	17.7x	14.4x	14.4x
	TSMC	TWD	TWD	2,370.0	2500.0	Buy	1,690.5	24.1x	18.8x	15.8x	12.2x
	UMC*	TWD	TWD	164.0	NA	NR	56.7	35.1x	28.4x	15.9x	12.9x
	HKMIC*	USD	USD	82.3	NA	NR	104.4	59.7x	24.6x	20.1x	
	Tower Semiconductor*	USD	USD	249.9	NA	NR	24.7	70.8x	41.1x	38.4x	25.6x
	arm	USD	USD	334.3	205.0	Hold	313.3	162.2x	123.3x	133.1x	105.0x
IP/EDA Comp	Synopsys	USD	USD	454.3	590.0	Buy	76.3	29.8x	25.2x	17.4x	15.8x
	Cadence	USD	USD	377.3	375.0	Buy	91.3	47.3x	39.1x	36.2x	30.6x
	Logitech	USD	CHF	78.8	80	Hold	13.7	17.3x	15.8x	14.3x	13.5x
	Apple*	USD	USD	283.8	NA	NR	3,657.4	31.6x	28.6x	23.6x	21.0x
	HP Inc*	USD	USD	22.9	NA	NR	18.4	7.6x	7.5x	5.6x	5.5x
	Samsung Electronics*	KRW	KRW	327,900	NA	NR	1,092.6	5.2x	5.2x	4.0x	
	SK Hynix*	KRW	KRW	2,643,000	NA	NR	1,072.8	8.5x	5.8x	6.1x	3.5x
	Micron	USD	USD	1,132.3	1550	Buy	1,122.2	11.2x	6.8x	8.5x	5.0x
	Cisco Systems*	USD	USD	113.8	NA	NR	393.5	25.3x	22.8x	18.8x	17.0x
	Ericsson	SEK	SEK	32.5	14.4x	Hold	14.4x	12.9x	7.5x	6.8x	
Telecom Equipment	Motorola Solutions*	USD	USD	402.9	NA	NR	58.7	23.7x	21.7x	17.2x	15.7x
	Nokia	EUR	EUR	11.4	13.50	Buy	65.4	35.2x	29.6x	20.5x	17.0x
	Ciena Corp*	USD	USD	479.5	NA	NR	59.6	67.6x	45.7x	46.6x	33.5x
	5 Networks*	USD	USD	394.5	NA	NR	19.5	23.6x	21.8x	16.2x	14.9x
	Keysight*	USD	USD	328.7	NA	NR	49.3	31.4x	27.2x	24.0x	21.2x
	ZTE Corp*	CNY	CNY	35.3	NA	NR	20.3	23.5x	20.7x	16.6x	15.3x
	Adobe	USD	USD	202.7	260.0	Hold	77.2	8.2x	7.0x	5.9x	5.1x
	Amadeus	EUR	EUR	58.0	NA	NR	53.3	13.8x	13.4x	8.3x	
	Autodesk	USD	USD	196.3	330.0	Buy	39.9	15.8x	13.6x	12.1x	10.3x
	Cadence Design	USD	USD	377.3	375.0	Buy	103.1	47.3x	39.1x	34.8x	29.5x
Software Comps	Dassault Systemes	EUR	EUR	17.9	21.0	Hold	26.7	13.7x	13.0x	9.3x	8.3x
	Hexagon	USD	SEK	81.0	86.0x	Hold	22.2	26.6x	23.5x	13.8x	12.7x
	Intuit	USD	USD	267.7	530.0	Buy	70.5	10.6x	9.2x	7.4x	6.1x
	Microsoft	USD	USD	373.0	550.0	Buy	2,784.2	19.0x	17.2x	11.9x	9.8x
	Nemetschek	EUR	EUR	52.6	NA	NA	7.1	19.6x	16.3x	13.6x	10.9x
	Oracle	USD	USD	148.5	300.0	Buy	432.8	16.3x	15.6x	11.6x	8.6x
	PTC	USD	USD	115.7	180.0	Buy	113.2	14.2x	12.9x	10.2x	9.3x
	Sage	GBP	GBP	817.6	900.0	Hold	10.7	14.4x	12.5x	10.4x	8.8x
	Salesforce	USD	USD	158.4	255.0	Buy	125.2	11.3x	10.3x	13.3x	7.8x
	SAP	EUR	EUR	135.9	200.0	Buy	173.9	7.0x	14.3x	10.2x	9.7x
Services Comps (SBC)	ServiceNow	USD	USD	98.3	135.0	Buy	102.9	24.2x	19.8x	2.8x	10.5x
	Synopsys	USD	USD	454.3	590.0	Buy	84.5	29.8x	25.1x	16.7x	15.1x
	Workday	USD	USD	124.2	180.0	Buy	33.3	11.7x	9.8x	9.6x	7.8x
	Accenture	USD	USD	129.0	140.0	Hold	80.3	7.6x	7.1x	4.9x	4.6x
	Capgemini	EUR	EUR	89.7	125.0	Buy	77.7	7.2x	6.5x	4.8x	4.4x
	CGI	CAD	CAD	91.3	NA	NA	14.2	9.7x	8.9x	6.7x	6.1x
	Cognizant	USD	USD	40.0	70.0	Buy	19.2	6.7x	6.1x	3.8x	3.1x
	HCL Technologies	INR	INR	1,100.7	NA	NA	31.7	15.5x	14.2x	9.1x	8.3x
	IBM	USD	USD	271.6	NA	NA	254.5	17.9x	17.3x	13.8x	12.7x
	Infosys	INR	INR	1041.2	NA	NA	44.4	13.4x	12.6x	7.9x	7.3x
	TCS	INR	INR	2094.7	NA	NA	79.9	13.9x	12.9x	9.6x	9.2x
	Wipro	INR	INR	175.0	NA	NA	19.5	12.7x	12.1x	7.6x	7.1x

Other related research:

- Al's tightest bottleneck: Memory chips
- Chips: The Biggest AI Bottleneck
- Investor Positioning and Flows: Bouncing Above Neutral
- What We Learned This Week: Stay in Rotation
- Bitcoin: Tinkerbell Blinks

Market cap
in EUR bn

Market cap
in USD bn

Source: Deutsche Bank Research, Bloomberg Finance LP for non-covered companies.
Updated June 29 2026.

Appendix 1



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